

Apple Inc.
AAPL NASDAQ

Buy \$326.13 ▲ 2.93% 12M Price Target \$360.00 52-Week Range \$225.95 – \$344.57 Market Cap \$4.76T

AAPL: Ternus Era Kicks Off With a Bang

WHAT HAPPENED

- AAPL popped 2.93% on Tim Cook's official handoff to John Ternus — the market is voting "yes" on the succession. That's notable because leadership transitions usually create uncertainty; instead, the stock is at 84% of its 52-week range, meaning it's trading near the top of where it's been all year. Translation: investors think Ternus (the hardware chief) will finally push Apple beyond just being "the iPhone company."
- A trade secrets lawsuit dropped alleging an ex-employee handed files to OpenAI — messy headline, but the stock shrugged it off. That tells you the market cares way more about the CEO story today than legal noise.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Ternus honeymoon ends fast if the September iPhone event underwhelms — the stock is priced for a "wow" moment, not an incremental upgrade
- EU/DOJ antitrust pressure on the App Store could compress Services margins (currently ~70%), which is the highest-quality earnings stream Apple has
- The non-obvious risk: OpenAI lawsuit exposes how far behind Apple actually is on generative AI — if discovery reveals internal panic about ChatGPT, the "AI is coming" narrative cracks

IN THE NEWS

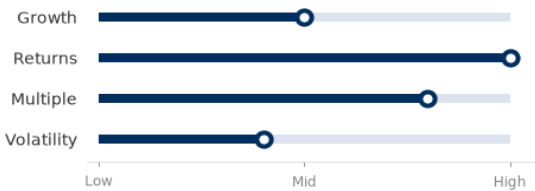
- John Ternus's mission: Make Apple more than just an iPhone company** Yahoo Finance Video · 2026-09-01 15:46
- What Tim Cook told employees on his last day at Apple** Yahoo Finance · 2026-08-31 17:15
- Apple Stock Did Great During Cook's Time as CEO—But So Did the Mag 7** Barrons.com · 2026-09-01 16:14
- Gap Up on Leadership Shift; Shein's Market Debut | Stock Movers** Bloomberg · 2026-09-01 15:16
- What Does Apple (AAPL) Risk From Its Trade Secrets Lawsuit?** Simply Wall St. · 2026-09-01 15:09

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$326.13
12M Price Target	\$360.00
Upside / (Downside)	+10.4%
Market Cap	\$4.76T
FY2026E Revenue	\$425M
FY2027E Revenue	\$458M
FY2026E EPS	\$7.85
FY2027E EPS	\$8.90
Fwd P/E	41.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$345.00	\$332.00	\$305.00
6 Months	\$380.00	\$350.00	\$290.00
1 Year	\$410.00	\$360.00	\$275.00
2 Years	\$480.00	\$400.00	\$260.00
5 Years	\$650.00	\$500.00	\$300.00
10 Years	\$900.00	\$700.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3.74% 5D) is leading on Middle East tension and supply cuts; that's a broader risk-on signal that mega-cap tech is riding.

COOLING OFF: Healthcare, Staples, and Utilities all down 2%+ over 5 days — classic defensive rotation OUT, meaning money is looking for growth again.

ROTATION WATCH: Capital is flowing back into mega-cap tech after a summer of defensive positioning — the leadership handoff at Apple is a convenient catalyst, but the real driver is falling rate expectations and easing tariff rhetoric.

RELATED PLAY: If Apple's AI hardware pivot is real under Terner, watch the semiconductor equipment names (AMAT, LRCX) and TSMC — they build the picks and shovels for Apple's silicon roadmap.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Riding the enterprise AI wave with Copilot monetization actually showing up in numbers
- NVDA (Nvidia): Still the AI infrastructure king — every hyperscaler capex dollar flows through them

AAPL CONTEXT: Apple has LAGGED the Mag 7 for most of 2025-26 (as Barron's noted this morning), but today's move suggests it's playing catch-up. That lag is actually why the setup is interesting — expectations were reset lower, and now Terner gets to be the "unlock" story.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish on the setup but Apple at \$4.76T market cap needs a lot to go right to compound at 15%+.

POSITION SIZE: 5-8% of portfolio — this is a core holding, not a trade. The dividend + buyback floor gives you downside protection retail investors underestimate.

ENTRY POINTS: I'd add on pullbacks to \$310-315; if we get a broader market wobble that takes it to \$295, back up the truck.

TIME HORIZON: 12-24 months — the catalyst path is: September iPhone event → holiday sales → Vision Pro 2 → 2027 AI iPhone super-cycle.

WHEN TO BAIL: If iPhone unit sales decline more than 10% YoY, or if Terner loses a key lieutenant (Federighi, Joswiak), or if EU forces the App Store open with no workaround — those are exit triggers.

HEDGING: Buy a put option at the \$290 strike expiring 6 months out — think of it as insurance that costs ~2% of your position but caps your downside if the whole thesis breaks. Or simpler: keep 30% of your intended position in cash to average down if it dips.